Note 5: Income Taxes

The Company has experienced operating losses since inception. The Company has provided a full valuation allowance for all deferred tax assets because of the uncertainty regarding the utilization of the net operating loss carryforwards.

Prior to the change in control, the Company had approximately $37,304 of federal and state net operating losses. However, due to the change in control that occurred in 2005, it is doubtful that these net operating losses will be able to be utilized to offset future taxable income.

Income taxes are summarized as follows for the years ended December 31:

	2007	2006
Current benefit	$ (1,226,412)	$ (613,456)
Deferred provision	1,238,405	613,506
Net income tax provision	$ 11,993	$ 50

A reconciliation of the differences between the effective and statutory income tax rates are as follows for the years ended December 31:

	2007		2006	
	Amount	Percent	Amount	Percent
Federal statutory rates	$ (839,761)	34%	$ (1,289,596)	34%
State income taxes	$ (148,193)	6%	$ (227,576)	6%
Valuation allowance	986,253	(40)%	1,515,537	(40)%
Other	13,693	0%	1,685	(0)%
Effective rate	$ 11,993	0%	$ 50	0%

During the year ended December 31, 2007, the Company has incurred an income tax provision of $11,993 primarily related to income generated in foreign countries by its previously consolidated licensee, ICM, for which domestic net operating losses could not be utilized.

Components of deferred tax assets (liabilities) are as follows at December 31, 2007:

Deferred tax assets:	
Stock based compensation	$ 2,696,523
Net operating loss carryforwards	995,151
Deferred tax liabilities:	
Depreciation	(16,738)
Total	3,674,936
Valuation allowance	(3,674,936)
Net deferred tax assets (liabilities)	$ -

The Company adopted the provisions of FIN 48 in 2007 and did not identify any material uncertainties. See Note 1.